

Supplier Rebate & SLA Settlement Policy

Quarterly settlement controls for strategic suppliers

Policy ID	SR-SLA-2026.1
Effective	1 January 2026
Owner	Procurement Operations
Currency	USD
Classification	Synthetic evaluation material

Purpose. This policy defines the controlled calculation and review sequence for quarterly supplier rebates. It is intentionally synthetic and contains no production, customer, or supplier data.

Control objective. A settlement is payable only when eligible spend, tiering, service performance, effective-date proration, caps, rounding, and exclusions are applied in the order stated in this document.

Document conventions

Rates are decimals between zero and one. Monetary amounts are US dollars. Calendar-day counts are inclusive. Boundary words such as below and above are strict unless an inclusive symbol or phrase is used.

1. Eligible spend and rebate tier

RB-101 Eligible spend

Eligible spend equals gross eligible invoices minus returns and credits minus pass-through charges, floored at zero.

RB-102 Ordered tier lookup boundaries

The tier schedule is an ordered range lookup: the rebate rate is 0% when eligible spend is below \$100,000; 2% from \$100,000 inclusive to below \$250,000; 3% from \$250,000 inclusive to below \$500,000; and 4% at \$500,000 or above.

RB-103 Gross rebate

Gross rebate equals eligible spend multiplied by the rebate rate, with no intermediate rounding.

Required source fields

Field	Type / unit	Control
Gross eligible invoices	USD	Non-negative
Returns and credits	USD	Non-negative
Pass-through charges	USD	Non-negative
Period start / end	Date	Start must not exceed end
Contract start	Date	Required

2. Service and effective-date adjustments

RB-201 Critical incident precedence

One or more critical incidents sets the SLA multiplier to zero unless the critical-incident waiver is Y; this exclusion is evaluated before ordinary SLA penalties.

RB-202 Ordinary SLA penalties

When critical exclusion does not apply, the SLA multiplier is 0.60 if on-time delivery is below 95% and defect rate is above 2%, 0.75 if exactly one of those conditions is true, and 1.00 otherwise.

RB-203 Waiver scope

A critical-incident waiver waives only the critical exclusion; it does not waive an ordinary delivery or quality penalty.

RB-204 Contract-effective active days

Contract-effective active days are inclusive calendar days from the later of the period start and contract start through the period end, floored at zero.

RB-205 Effective-date proration multiplier

The effective-date proration multiplier equals contract-effective active days divided by the inclusive calendar days in the settlement period, capped at 1.00 and floored at zero.

Boundary control: 95% on-time delivery is not a delivery breach, and a 2% defect rate is not a quality breach.

3. Settlement order, cap, and decision

RB-301 Adjustment order

Adjusted rebate equals gross rebate multiplied by the SLA multiplier and then by the effective-date proration multiplier.

RB-302 Cap and rounding

The \$20,000 cap is applied after all multipliers, and the resulting final rebate is rounded to two decimal places only after the cap is applied.

RB-303 Decision code

Decision code is EXCLUDED_CRITICAL for an unwaived critical incident, NO_REBATE when final rebate is zero for any other reason, and PAYABLE otherwise.

Controlled calculation sequence

Step	Output	Rule
1	Eligible spend	RB-101
2	Contract-effective active days	RB-204
3	Tier rate	RB-102
4	Gross rebate	RB-103
5	SLA multiplier	RB-201 to RB-203
6	Effective-date proration multiplier	RB-205
7	Adjusted rebate	RB-301
8	Final rebate	RB-302
9	Decision code	RB-303

Review control. Any formula change requires evidence of the cited rule, a before/after formula diff, counterexamples that distinguish the interpretations, and explicit reviewer approval. The source workbook must remain unchanged.

4. Unsupported workbook features

This controlled calculator accepts ordinary .xlsx workbooks only. Macros, VBA, Power Query, external workbook links, DDE, embedded executable content, volatile functions, and network refreshes are outside this policy and must be rejected rather than approximated.

All examples and supplier identifiers used for testing are synthetic. Production settlement requires the organization-specific approval and retention process in addition to this calculation policy.